



MASTER OF BUSINESS ADMINISTRATION
End of Semester Exams

MBA 8101: FINANCIAL AND MANAGERIAL ACCOUNTING

Date: Wednesday 20th January 2021

Time: 3 Hours

Instructions:

- 1. Question One is Compulsory and must be answered**
- 2. Answer Two other questions from Question Two to Four**

Question 1 (Compulsory) (50 Marks)

Use the case provided to answer this question. (Where relevant for revenue use net sales i.e. after tax and not gross revenue).

- (a) Briefly summarize the main business of the organization **(2 Marks)**
- (b) Highlight key incomes, expenses, assets, liabilities and capital of the company for 2019 and 2018. (Provide a maximum of three items based on material amounts). Suggest possible reasons for the changes in the figures from one period to the next. **(20 Marks)**

Use a table with the following headings

Item	2018 (sh.000)	2019 (Sh.000)	Change +-Sh.000	Possible reason(s) for change
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(c) The management is worried about the trends in performance over the five years and would like you to highlight areas of concern. Using the summarize financial statements for period between 2015 and 2019:

- (i) Compute the following ratios for each of the five years (each ratio is 2 Marks = **16 Marks**)
 - Gross Profit Margin
 - Net Profit Margin
 - Current ratio
 - Quick Ratio
 - Debt Ratio
 - Debt Equity ratio
 - Inventory Days
 - Total Assets Turnover

(ii) Comment on FOUR critical areas based on the metrics and the summarized financials
(8 Marks)

(d) Use the Balanced Scorecard to evaluate the performance for year 2019. Provide the Five Perspectives, mentioning one goal and the measure you are using to evaluate the performance
(15 Marks)

Use the following table

Perspective	Goal	Measure

Question 2 (25 Marks)

(a) The following trial balance relates to Winston Limited as at 31 December 2020:

Winston Limited

Trial Balance as at 31 December 2020

	Debit	Credit
	Sh. '000'	Sh. '000'
Land at valuation	10,000.00	
Buildings at cost	50,000.00	
Accumulated Depreciation on Buildings		5,000.00
Fixtures and Fittings at cost	64,000.00	
Accumulated Depreciation of Fixtures and Fittings		31,600.00
Inventories as at 1 January	42,000.00	
Returns Inwards/Outwards	4,000.00	8,000.00
Selling and Marketing Expenses	10,000.00	
Directors' salaries	3,000.00	
Administration Expenses	5,600.00	
Distribution Costs	16,700.00	
Credit Loss	400.00	
Retained Profits as at 1 January		36,200.00
Software	16,000.00	
Accumulated Amortization of Software		4,000.00
Cash Proceeds on issue of 0.5 million new Ordinary Shares		11,000.00
Cash at bank	2,500.00	
Installment Tax Paid	4,000.00	

Ordinary Share capital (Sh. 20 each fully paid)		60,000.00
8% Preference share Capital (Par value Sh. 20 each fully paid)		10,000.00
Share Premium		8,000.00
Land Revaluation Reserve		2,000.00
6% Loan Stock/Bond		10,000.00
Trade Receivables/Trade Payables	33,000.00	14,800.00
Allowance for Credit Loss as at 1 January		1,800.00
Purchases/Sales	422,000.00	480,000.00
Discounts Allowed/Received	500.00	1,300.00
	<u>683,700.00</u>	<u>683,700.00</u>

The following notes apply for the purpose of preparing financial statements for year 2020.

1. Inventories as at 31 December 2020 were valued at Sh. 56,000,000.
2. Depreciation is to be provided on the cost of the non-current assets held at the end of the financial year at the following rates on cost:

Asset	Rate
Buildings	- 2% per annum
Fixtures and Fittings	- 10% per annum

The software is being amortized over four years.

3. Trade receivables balance includes Sh. 100,000 from Mary Zed, who has been declared bankrupt and cannot settle. The allowance for Expected Credit Loss as at 31 December 2020 is to be increased to sh.1, 645, 000.
4. Selling and Marketing expenses prepaid at the year-end amounted to Sh. 400,000 while administrative expenses accrued were Sh. 700,000.
5. The tax expense for the year has been agreed at sh.6,500,000 with the tax authorities.
6. Land should be valued upwards by sh.1 million by the year end.
7. The bank balance as at 31 December is incorrect because, on 15th December 2020, the company paid preference dividends of sh.800,000 and ordinary dividends of sh.1,200,000. The dividends paid have not been reflected in the trial balance, hence the bank balance should be reduced, when preparing the statement of financial position.

Required:

- (a) The statement of Profit or Loss for the year ended 31 December 2020. **(7 Marks)**
- (b) The statement of changes in equity for the year ended 31 December 2020. **(2 Marks)**
- (c) The Statement of Financial Position as at 31 December 2020. **(7 Marks)**

(b) In addition to financial statements, the management is required to provide other important information through additional reporting, such as Management Discussion and Analysis, Corporate Governance and Sustainability reports. Provide a highlight of the contents of these THREE reports and explain their importance **(9 Marks)**

Question 3 (25 Marks)

(a) Jumbojet Airways, a low- cost airline based in Kenya, operates in several routes one of them being the Nairobi – Malindi route. The management would like to estimate the price for one-way and two-way (return) tickets.

The aircraft is a small one with a capacity of 50 passengers, but due to seasonality, the average demand is about 90% passengers per flight. The aircraft does two return flights per day for 340 days in a year. The distance between Nairobi and Malindi is 425 kilometers.

The following additional details relate to the route.

Fuel	Sh.400 per km
Service and repair costs	Sh.150 per km.
Aviation annual route license	Sh.20,000 per annum.
Commission to travel agents (per passenger)	Sh.1,500 (one way) sh.2,500 (return)
Meals and entertainment during flight	Sh.500 per passenger
Insurance (Passengers & Aircraft)	Sh. 1,000,000 per annum.
Salary to pilot and flight attendants	Sh.6,000, 000 per annum.
Depreciation of aircraft	Sh.250 per kilometer
Operational overheads allocated to the route	Sh.2,000,000 per annum

The airline expects to make an average profit of 10% above all costs. Customers are billed an additional amount at 10% to for the average airline taxes (the ticket price is inclusive of 10% taxes to the government). Assume that the airline does not give discounts to children but passengers for return tickets get a 5% discount.

Required

(i) The price of one way ticket **(6 marks)**

(ii) The price of a return ticket **(5 marks)**

(iii)The airline prepared the budget for 2021 in December 2020 using the traditional approach, but given the impact of Covid, it is considering using rolling budget as opposed to traditional budget. Distinguish between traditional budgeting and rolling budgeting and explain one benefit and one disadvantage of each method **(4 Marks)**

(b) Heritage Pride Hotel situated in the south coast, provides accommodation to locals and tourists. The hotel is planning for its next financial period for the accommodation facility which has mainly single and double rooms.

There are 80 single rooms and 40 double rooms. The charge for a double room is 150% of the single room. Daily variable costs including meals is estimated at sh.4, 500 for a single room and Sh.7, 500 for a double room. Fixed costs are estimated at Sh.50, 000, 000 mainly made up of its administration costs and other apportioned overheads.

The hotel has a planning horizon of about 50 weeks annually for the use the accommodation facility. 20 weeks are peak while the remaining weeks are off-peak. All rooms are expected to be 100% booked for the peak season. For the off-peak season occupancy is expected to be 60% for double rooms and 70% for single rooms.

Required

- (i) Compute the Break-Even rate for both the single and double room that the hotel should charge its customers **(7 Marks)**.
- (ii) Comment on why the hotel should be cautious when estimating the breakeven rate **(3 Marks)**

Question 4 (Compulsory) (25 Marks)

(a) Copy Fox Limited is a local company that manufactures three models of printers i.e. PN001, PN002 and PN003. The management is not happy about the current production mix and is seeking advice on the most optimal arrangement. Current production is 100,000 units of PN001, 50,000 units of PN002 and 60,000 units of PN003. The data relating to production costs for each unit of the printers are given below:

	PN001	PN002	PN003.
Production costs	Sh.	Sh.	Sh.
Direct material	3,000	9,000	6,000
Variable overhead	1,500	4,000	4,500

Additional information:

1. Each type of printer passes through three departments in which a different type of labour is used. The labour requirements in each department are given below:

Department	Rate/ hour	Labour Requirement (hours)		
	Sh.	PN001	PN002	PN003
1.	200	3	4	6
2.	400	1	2½	4
3.	300	5	7	9

2. There is a shortage of labour in department 2 and it is not possible to increase labour input hours beyond the current level.
3. Fixed overheads are budgeted at Sh.500, 000,000 per annum and they are expected to remain constant.
4. Market price is currently Sh.12,000 for PN001, Sh. 20,000 for PN002 and Sh.22,500 for PN003.
5. A recent market survey disclosed that maximum sales potential for the company is 125,000 units of PN001, 75,000 units of PN002 and 80,000 units of PN003.

Required:

- (i) Determine the profit made on the current production mix. **(7 marks)**
- (ii) Determine the most profitable production mix that should be adopted by the company. **(7 marks)**
- (iii) Calculate the expected profit if the production mix in (ii) above is adopted by the company. **(2 marks)**
- (b) The management of Copy Fox Limited is evaluating the role of management accounting in strategy.

Required

Discuss how management accounting supports strategy analysis, formulation and implementation **(9 Marks)**